TALAAT MOUSTAFA GROUP HOLDING

Egyptian Exchange · TMGH · reported in Egyptian pounds

Valuation study · 2 September 2026

Read first

This document sets out a range of values for one company and the reasoning behind it. It is not advice, it does not tell anyone to buy or sell anything, and it contains no target price. Where a judgement could reasonably be made two ways, both are shown and neither is averaged into the other.

Three things are worth knowing before the numbers.

- The discount rate does most of the work, and it is not one rate. A company whose order book converts over the next fifteen years cannot be discounted at today's crisis rate in every one of those years, because the central bank publishes a path back to a seven per cent inflation target and this study's own borrowing assumptions already follow it. Each year therefore carries its own rate, falling from 32.37% in the first year to 21.93% once the economy has normalised; a pound arriving in year nineteen is worth about four times what a single flat rate would have said. Earlier editions of this study used one flat rate throughout, and that is the largest single change here.
- The order book is enormous and slow. TMG had sold but not yet handed over EGP 491.0 billion of property at 30 June 2026, against EGP 17.0 billion of development revenue recognised in the first half. How fast that converts is the single question this study cannot settle from what the company publishes, so it is answered both ways throughout.
- Nearly half the group does not belong to TMG's shareholders. Non-controlling interests are 45.2% of consolidated equity after the 2024 hotel acquisition and the project-company structures. Every value here is shown with that minority deducted two different ways.

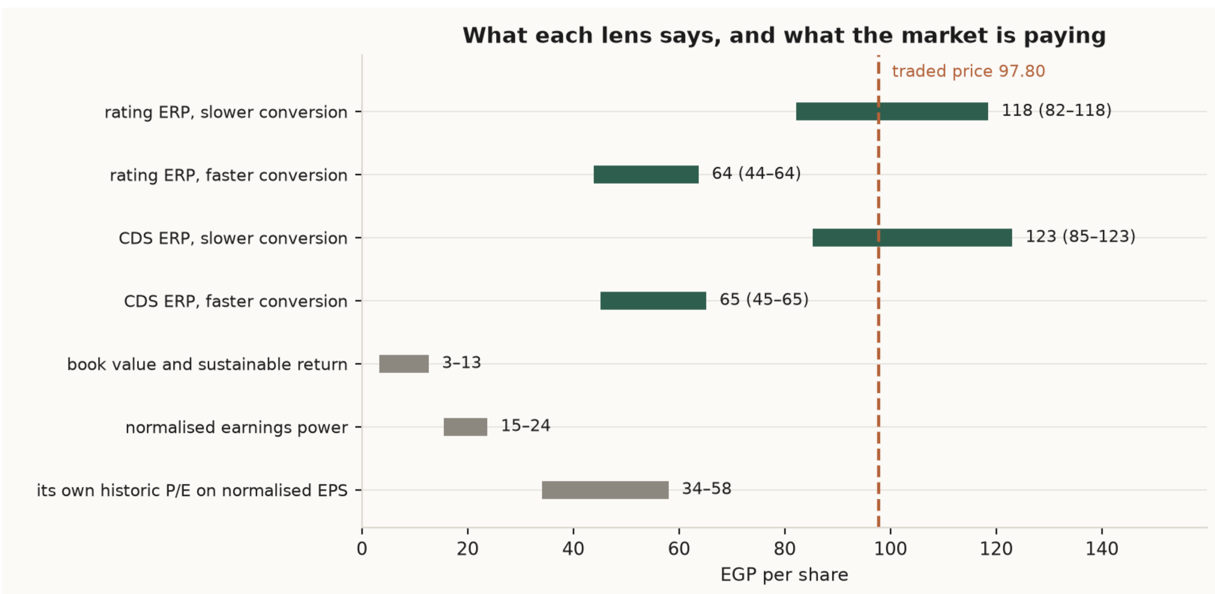
Every figure about the company comes from its own audited or reviewed financial statements, or from documents it published itself. Where something is not disclosed, this study says so rather than estimating it.

Headline

On the method used here, Talaat Moustafa Group Holding is worth between EGP 63.70 and EGP 123.03 a share. The shares last traded at EGP 97.80.

That range is the envelope of four published cases: two ways of measuring Egypt's equity risk premium, crossed with two readings of how fast the order book converts, each shown with the minority interest deducted on three bases — at its share of value, proxied by the filed profit share, which is the basis adopted; at book; and pro rata to book — because the protocol deducts a minority at what it is worth, never at what it historically cost. The cases are not averaged, because averaging two answers to a question nobody has settled produces a number that was true in neither.

Run the same model backwards and ask what single flat discount rate would reproduce the traded price, and the answer is 17.4% to 31.9%. This study does not use a single rate: it discounts each year at its own, starting at 32.37% on the credit-default-swap premium — the rating-based premium runs 3.42% higher in the first year — and settling at 21.93% once the central bank's published path has played out. The comparison is still worth making, and what it shows is that the market and this study are closer than the headline rates suggest.



Every lens in this study, and the price the market is paying. The four dark bars are the cases this study publishes: each spans the three bases on which the minority interest can be deducted, and each is labelled with the basis adopted followed by that span, so the figure the label reads is the figure the summary table carries. The lighter bars are the cross-checks.

Valuation summary

Case	Discount rate	Enterprise value	Equity value (adopted)	Per share, minority at value share	Per share, at book	Per share, pro rata
Rating-based premium, slower conversion	35.79%	221,706	244,183	118.50	113.24	82.15
Rating-based premium, faster conversion	35.79%	78,802	131,255	63.70	43.89	44.16
Credit-default-swap premium, slower conversion	32.37%	233,520	253,519	123.03	118.97	85.29
Credit-default-swap premium, faster conversion	32.37%	82,629	134,279	65.16	45.75	45.18

All values in EGP million except per-share figures, which are in EGP. The four cases are published side by side and never averaged.

The other lenses, as cross-checks:

Cross-check	What it measures	EGP per share
Book value and the return earned on it	the company's return on equity of 16.7% against a cost of equity of 37.1%	3.33 – 12.63
Normalised earnings power	three years' attributable profit with revaluation gains stripped, capitalised	15.44 – 23.77
Its own history of multiples	the range of price-to-earnings multiples the shares have actually carried, 8.9 to 15.2 times, on normalised earnings of EGP 3.81	34.04 – 58.00

Company overview

Talaat Moustafa Group Holding is Egypt's largest listed developer and manager of integrated communities, and it has been publicly held since 2007. It runs three businesses inside one holding company.

Business	FY2025 revenue	Share of revenue	Gross margin, first half 2026	What it is
Real-estate development	36,706	59%	26.6%	Madinaty, Al Rehab, Celia, SouthMed, The Spine and, from 2025, Banan in Saudi Arabia
Hospitality	14,890	24%	45.4%	about 3,500 operating keys with a further 1,500 under construction, including Four Seasons and Sofitel properties

Business	FY2025 revenue	Share of revenue	Gross margin, first half 2026	What it is
Other recurring income	10,900	17%	31.9%	commercial leasing and management, sporting clubs and integrated community services

Revenue in EGP million. Margins are outputs of the disclosed cost lines, not assumptions.

The scale that matters most is not the income statement. At 30 June 2026 the company held a sold-but-undelivered order book of EGP 491.0 billion, a landbank of about 20 million square metres, customer advances of EGP 134.0 billion already collected against undelivered homes, and a further EGP 210.4 billion of post-dated cheques held outside the balance sheet for the same purpose.

1. Fundamental valuation

1.1 The cash-flow model

The company is valued as a sum of its parts, because its three businesses need different treatment and forcing them into one model produces a number that describes none of them. One projection underlies everything: the same forecast feeds the value, the statements in Appendix A and the workbook.

EGP million	2026	2027	2028	2029	2030
Revenue	80,502	94,072	113,310	138,282	169,256
Cost of revenue	-55,039	-64,174	-77,303	-94,439	-115,737
Gross profit	25,463	29,898	36,007	43,843	53,520
Gross margin	31.6%	31.8%	31.8%	31.7%	31.6%
Overheads	-5,435	-6,351	-7,650	-9,336	-11,427
Depreciation and amortisation	-1,143	-1,157	-1,176	-1,203	-1,237
Operating profit	18,886	22,390	27,181	33,305	40,856
Tax on operating profit	-4,249	-5,038	-6,116	-7,494	-9,193
Operating profit after tax	14,637	17,352	21,065	25,812	31,664
add back depreciation and amortisation	1,143	1,157	1,176	1,203	1,237
less capital spend	-2,319	-2,793	-3,365	-4,053	-4,883
less increase in homes built ahead of handover	855	-4,550	-11,768	-20,186	-29,447
add increase in money collected ahead of handover	10,539	25,850	40,232	54,167	68,095
Free cash flow to the firm	24,855	37,016	47,341	56,942	66,666
Discount factor	0.7364	0.5628	0.4436	0.3580	0.2936
Present value of free cash flow	18,303	20,833	20,999	20,384	19,572

The first five of the ten explicit years, on the case built on the rating-based equity risk premium, slower conversion, whose first-year rate is 35.79%; the other three cases are in the workbook, as is the full ten-year waterfall. The two working-capital lines are the movement in the positions a developer carries at once — money collected ahead of handover, and homes built ahead of handover.

From enterprise value to what the shareholder owns:

Bridge from enterprise value to equity	**EGP million**
Present value of the explicit ten years	183,703
Present value of the order book still unconverted after that	14,029
Present value of the recurring businesses beyond the window	23,974
Enterprise value	221,706
Cash, deposits and amortised-cost financial assets	75,773
Borrowings	(16,493)
Lease liabilities	(514)
Investment property, held separately	25,228
Investments in associates and other financial assets	3,299
Value of the whole group's equity	309,000
Non-controlling interests at their share of value (filed profit share, 21.0%)	(64,817)
for reference: at book 75,653; pro rata to book 139,709	
Equity attributable to TMG's own shareholders	244,183
Shares in issue, million	2,060.7
Value per share, EGP	118.50

The case built on the rating-based equity risk premium, slower conversion, with the minority deducted at its share of value, which is the basis adopted. The other three cases run the same bridge on their own numbers, and the two other minority bases are in the summary table.

1.2 Book value and the return earned on it

Book value attributable to TMG's shareholders is EGP 44.49 a share. The company earned 16.7% on that book in 2025. Its cost of equity on this method is 37.1%. A business earning less on its capital than the capital costs is worth less than its book, and the arithmetic says so plainly: at a long-run growth rate of 10% the justified multiple of book is 0.25 times, giving EGP 10.91 a share.

That is the most severe reading in this study and it should be treated with care. It is entirely a statement about the discount rate: at the rate the market appears to use, the same arithmetic gives a multiple above one. It is included because a lens that only ever agrees with the others is not a lens.

1.3 What the shares have been worth before

Year end	Close, EGP	Earnings per share, EGP	Price to earnings	Book value per share, EGP	Price to book
2017	9.80	0.64	15.2	not stated	–
2018	9.89	0.83	12.0	not stated	–
2019	8.17	0.91	9.0	not stated	–
2020	6.57	not stated	–	not stated	–
2021	9.07	0.85	10.6	not stated	–
2022	9.99	1.12	8.9	not stated	–
2023	24.15	1.61	15.0	18.61	1.30
2024	56.00	5.20	10.8	not stated	–
2025	80.00	6.98	11.5	39.33	2.03

Earnings are those attributable to TMG's own shareholders. Book value is shown only for years where the split between TMG's shareholders and the minority is disclosed; carrying group equity in the same column would compare two different things.

Priced against its own history the company looks ordinary. It has traded between 8.9 and 15.2 times earnings over the period, and at the last close it is on 14.0 times its 2025 result. Nothing in the relative record suggests the shares are unusually priced; what the cash-flow lens disputes is whether that historical range was ever right, not whether today sits inside it.

A table of competitors' multiples is deliberately not shown. This study holds price histories for the Egyptian names listed in Appendix B but has not sourced their financial statements, and a competitor multiple built on a denominator nobody sourced is a number wearing a decimal point.

1.4 Normalised earnings power

Year	Attributable profit as reported	Revaluation gain at group level	Parent's share of that gain	Cleaned attributable profit
2023	3,313	0	0	3,313
2024	10,723	4,924	2,698	8,025
2025	14,384	3,952	2,165	12,218

EGP million. The gain is disclosed at group level and only the parent's share of it is stripped, which is why the parent's share is smaller than the group gain. The revaluation gains are non-cash and are not forecast; capitalising them would capitalise a valuation opinion rather than a business.

Averaged over the three years, cleaned attributable profit is EGP 7,852 million, or EGP 3.81 a share. Capitalised at the cost of equity less long-run growth, that is EGP 15.44 to EGP 23.77 a share.

1.5 Synthesis — four lenses, one field

The four lenses do not agree, and the pattern of disagreement is informative. The cash-flow model and the earnings-power model land in the twenties to sixties. The book-value model lands far below them, for one reason: it is the lens most exposed to the discount rate, and this study's discount rate is high. The relative lens lands closest to the traded price, for the opposite reason: it contains no discount rate at all, and simply records what buyers have paid before.

Read together they say something a single number could not. The shares are priced roughly where they have always been priced relative to earnings, and that price implies a required return close to what the Egyptian government pays to borrow. Whether that is enough compensation for owning a levered developer in this currency is the question, and it is one a reader can answer for themselves from figure 2.

1.6 The drivers, and how well this method has forecast them

Revenue is not projected as a growth rate. Each segment is built on its own driver and each cost line is a disclosed ratio of that segment's revenue, so the margin is an output rather than an assumption.

Driver	How it is built	Value used
Development revenue	the disclosed order book converted at a stated rate, capped by what has actually been sold	book of EGP 491.0 bn at 30 June 2026
Development cost	a ratio of development revenue, from the reviewed first half of 2026	73.4% of revenue
Hospitality revenue	grown on its own rate	20% a year
Other recurring revenue	grown on its own rate	22% a year
Overheads	a ratio of group revenue, from 2025	6.75%
Money collected ahead of handover	a rate on the order book plus the year's sales, taken from the movement in customer advances in the first half of 2026	7.57%
Homes built ahead of handover	work in progress moved toward the cover the build programme needs	4.0 years of cost
Interest	the marginal borrowing rate applied to borrowings, and to nothing else	25.50%

Customer advances, supplier balances and obligations against cheques received are funding, but none of them pays interest, so none of them is in the denominator of the borrowing rate.

This method was then tested against the company's own history. The driver model was rebuilt as it would have stood at each year end from 2015 to 2024, projected forward one to five years, and each driver scored against what the company actually reported. The results decided which of the model's habits were corrected and which were left alone.

Driver	Observations	Average error	Average size of error	Consistent across the record
Development revenue	35	-0.06	0.28	no
Total revenue	35	-0.09	0.37	no
Gross profit	35	-0.08	0.42	no

Driver	Observations	Average error	Average size of error	Consistent across the record
Net profit	34	+0.26	0.68	no
New contracted sales	33	-0.88	1.02	yes
Depreciation	30	-0.25	0.44	yes
Finance cost	30	-1.22	1.22	yes

Errors are in natural logarithms, so −0.06 means the forecast came in about 6% below the outcome. A negative average error means this method has tended to forecast low.

Two findings shaped this study.

- Converting a disclosed order book is forecastable. Development revenue came back with an average error of about 5% low and a typical error of 32%, across 35 tests. That is why the valuation is built on the order book rather than on a revenue growth rate.
- Forecasting new sales from population and inflation is not. New contracted sales came back about 58% low, consistently, in every part of the record. The reason is plain in the company's own numbers: sales went from EGP 33 billion in 2022 to EGP 143 billion, then EGP 504 billion, then EGP 382 billion, on the launches of SouthMed and The Spine. No demographic anchor can see a launch calendar. This study therefore does not forecast sales that way; it uses the company's own disclosed sales and lets them converge on the delivery rate.

The same testing found a habit worth naming and NOT correcting. The method under-forecasts finance cost badly and consistently, and a correction for it passed every statistical test applied. It was rejected anyway. TMG's reported finance charge of EGP 3,936 million for 2025, against the EGP 11,802 million of loans, current maturities and credit facilities it carried at that year end, implies a rate of 33.4% — against the 25.50% this model charges on borrowings. The excess is the unwinding of the financing component the company recognises on its customer contracts, which is not interest on a loan and is not disclosed separately. Correcting a figure whose numerator and denominator describe different things would have hidden that rather than fixed it.

1.7 The crux

Everything in this study turns on one number that the company does not publish: how long its order book takes to convert into handovers.

Years to convert the order book	EGP per share
8	58.54
10	84.50
12	103.67
14	118.50
16	130.36
20	148.18

At this study's discount rate, with the minority deducted at its share of value. The company's own record over the last three years is consistent with the slower end of this table.

The evidence for the slower reading is the company's own arithmetic. Development revenue as a share of the opening order book plus the year's sales ran near 15% before 2023. It was 9.8% in 2023, 3.8% in 2024 and 5.4% in 2025 — not because demand weakened, but because the book quadrupled while the ability to build did not. The constraint is construction capacity, not the order book.

The evidence for the faster reading is that TMG is investing heavily in exactly that capacity: work in progress rose from EGP 130.1 billion to EGP 148.3 billion in the first half of 2026 alone, and assets under construction rose alongside it. A company spending at that rate expects to hand over faster.

Here is the part that is not obvious. Faster conversion is worth LESS, not more. A developer that accelerates handovers has to build before it collects, and at first-year rates near 32% that investment pays back only slowly inside the window. The slower reading is worth EGP 118.50 a share and the faster one EGP 63.70. Both are published, and the gap between them is the study's crux.

1.8 The cost of capital, priced line by line

Input	Value	Where it comes from
Egyptian ten-year government bond yield	23.00%	market quote dated 6 August 2026, cross-checked against a policy rate of 19.00%, an overnight lending rate of 20.00% and an interbank rate of 19.51% at the central bank's August 2026 meeting
Egypt's own default spread, rating basis	6.37%	the sovereign's own row in the published country-premium file, read fresh on 1 September 2026
Risk-free rate, normalised, rating basis	16.63%	the bond yield less that default spread, so country risk is charged once and not twice
Egypt's own default spread, swap basis	3.41%	the sovereign credit-default-swap spread from the same file, which is what the swap-basis premium is built on
Risk-free rate, normalised, swap basis	19.59%	the bond yield less THAT spread; the two bases are not mixed
Equity risk premium, rating basis	13.94%	the same published file, Egypt's own row
Equity risk premium, swap basis	9.41%	the same file, on the alternative measure
Beta	1.4718	TMGH's own weekly returns regressed against the Egyptian Exchange's published index over 4.85 years, 251 observations, explaining 32.6% of the variation, standard error 0.185
Cost of equity	37.15% / 33.44%	the normalised risk-free rate plus beta times each premium
Marginal cost of debt, before tax	25.50%	the sovereign yield plus a 250 basis-point corporate spread. TMG does not disclose the rate on any of its own facilities, so its own borrowing cost cannot be used and this is labelled rather than presented as the company's rate

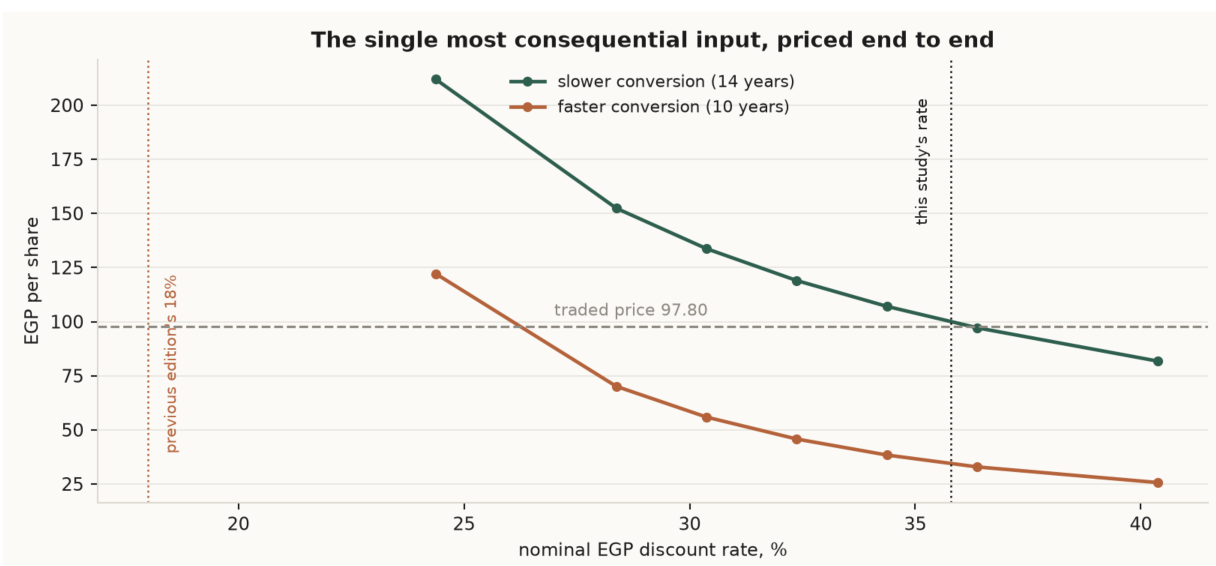
Input	Value	Where it comes from
Weights	92.2% equity / 7.8% debt	market value of equity at the last close; borrowings at book
Cost of capital, first year	35.79% / 32.37%	both premium bases published, neither averaged
Cost of capital, once normalised	21.93%	built from the central bank's own inflation target plus a standard real return, not quoted from any market: 12.50% risk-free, 7.00% premium, 15.00% cost of debt
The path between them	32.4% to 21.9%	each year discounted at its own rate; the shape follows the central bank's published easing calendar rather than a second assumption of this study's own

Year	1	2	3	4	5	6	7	8	9	10
Cost of capital	32.4%	28.6%	25.7%	23.4%	21.9%	21.9%	21.9%	21.9%	21.9%	21.9%
A pound arriving then is worth	0.755	0.587	0.467	0.379	0.311	0.255	0.209	0.171	0.140	0.115

The terminal value is brought home on the same factor as the last year's cash flow, 0.115. The common alternative — discounting the forecast years at one rate and the terminal value at a lower one — gives the same pound arriving on the same day two different values, and it is not done here.

One caveat on the risk-free rate. The quote adopted is 26 days old at the date of this study. It was cross-checked against three current central-bank rates rather than accepted alone, and its effect is priced across the whole plausible range in the next section. It should be refreshed before this study is relied on.

1.9 Sensitivity



The discount rate against value per share, on both readings of the order book. The dotted lines mark this study's rate and the 18% the June 2026 edition used.

Discount rate	Slower conversion, EGP/share	Faster conversion, EGP/share	Against the traded price
24.37%	196.51	125.52	101%
28.37%	149.44	84.41	53%
30.37%	134.67	73.18	38%
32.37%	123.03	65.16	26%
34.37%	113.59	59.32	16%
36.37%	105.78	54.99	8%
40.37%	93.62	49.28	-4%

The last column compares the slower reading with the last traded price of EGP 97.80.

Read the table from the bottom up and the point is unmistakable. Nothing about this company's business changes across those rows. The value changes by a factor of four, and the whole of that is one input. Anyone using this study should decide what they think the right discount rate is before they decide what they think of the shares.

2. Technical and price structure

The price closed 97.80 above a flat 50-day (97.45) and a rising 200-day (86.12), but below a falling 20-day (98.17). Momentum is neutral: RSI(14) is ~49 and the daily ATR near 1.97 (~2.0%) points to a normal tape. MACD (12·26·9) is negative and still falling (−0.18 / +0.01 / −0.19). Over the last year it has ranged 52.25–103.87; the last close sits 6% below that high and 87% above that low.

Trend: Consolidating below the near-term moving averages, above a rising 200-day

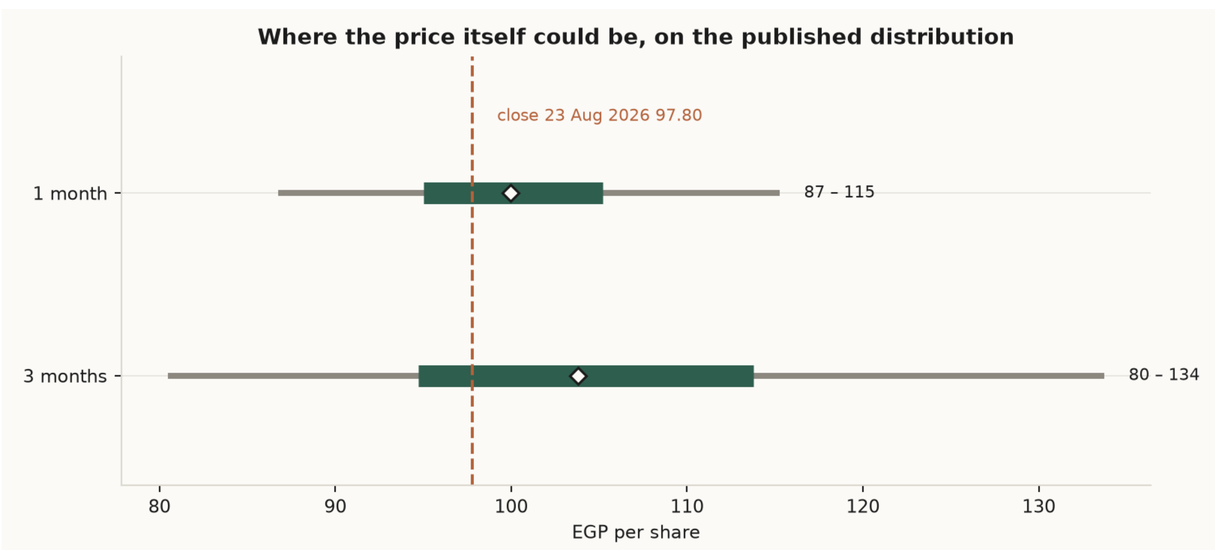
Charted levels above the close	EGP	Charted levels below the close	EGP
Nearest	100.12	Nearest	92.39
Second	102.00	Second	80.96
Third	103.87	Third	74.19

Levels are computed from the same cleaned price history the distribution in section 3 is built on.

- A daily close back above 100.12 would clear the nearest resistance; the next charted level above it is 103.87.
- A close below 92.39 would break the nearest support; the next charted level below it is 74.19.

This section describes the chart and nothing else. It carries no view on the business and it is not an input to the valuation; it is shown beside the other work so that agreement between them is information rather than an echo.

3. Where the price itself could be



The published distribution of where the share price could be at one and three months, against the last close.

Horizon	5th	25th	50th	75th	95th	Resolves
1 month	86.73	95.00	99.95	105.22	115.25	2026-09-23
3 months	80.50	94.74	103.82	113.76	133.71	2026-11-23

Percentiles of the modelled price distribution, in EGP. These describe the PRICE, not the business, and they are produced independently of the valuation above.

How well these bands have held is worth stating plainly rather than assumed. Across the whole book of companies covered on this market the ninety-per-cent band has caught the outcome close to the ninety per cent it promises, and where a particular company's record departs from that materially it is flagged on its page. The honest reading of a band that holds about as often as it says is that nothing needs saying, which is why nothing is said here.

One caution specific to this company. The distribution is fitted to price history. It knows nothing about the order book, the landbank or the discount rate, and it should not be read as agreeing or disagreeing with anything in section 1.

4. Comparing the lenses

Lens	What it looks at	What it says, EGP/share	Where it is weakest
Cash flow, sum of the parts	the order book, the hotels and the recurring businesses, discounted	63.70 – 123.03	wholly dependent on the discount rate and on the conversion period
Book value and sustainable return	what the company earns on the capital it holds	3.33 – 12.63	the most discount-rate-sensitive lens of the four
Normalised earnings power	three years of profit with one-off gains removed	15.44 – 23.77	three years is a short cycle for a developer
Its own history of multiples	what buyers have actually paid for these shares	34.04 – 58.00	records what the market did, not whether it was right

The four are not weighted into a single figure. Weighting would require a view on which lens is right, and the point of showing four is that this study does not have one.

5. What would move this

Event	Direction	Why it matters
A disclosed delivery schedule by project	either way	it would settle the crux directly, and the table in section 1.7 shows what each answer is worth
A disclosure of TMG's economic share of each project company	either way	nearly half of consolidated equity belongs to minorities; how much of the value follows is currently an estimate
The Saudi project reaching scale	upward	Banan was already 52.5% of development revenue in the first half of 2026 and it is recognised as work completes rather than on handover, which brings revenue forward
A further devaluation of the pound	downward in real terms	the cost base and the buyer's capacity to pay both move, and the collection cycle is long
Interest rates falling further	upward	the whole of section 1.9 is about this

Event	Direction	Why it matters
Cancellations rising above their historical rate	downward	the order book is the asset; the company has historically reported cancellations around 4% to 4.5% of accumulated sales

6. How to read the ranges in this document

- A range is not a forecast with error bars bolted on. It is the honest output of a method whose accuracy has been measured.
- The four valuation cases are alternatives, not a distribution. Each is internally consistent; picking between them means picking between the two ways of measuring country risk and the two readings of the order book.
- The ranges on the third to fifth forecast years in Appendix A come from how far out this method has actually been when tested on this company's own history, at that distance. They widen with horizon because the measured errors widen with horizon.
- The price distribution in section 3 answers a different question from everything else here — where the price might go, not what the business is worth. The two are shown side by side so that agreement between them is information rather than repetition.

7. Caveats, and what would change our mind

- The discount rate is the study, and the shape of it matters as much as its level. This edition discounts each year at its own rate, gliding from 32.37% to 21.93% as the central bank's own published path plays out. A flat rate held at today's level for fifteen years is not a conservative assumption; it is a forecast that Egypt never normalises, and it was not one any earlier edition of this study argued for.
- Nearly half the group belongs to somebody else. Non-controlling interests are 45.2% of consolidated equity, and the company does not disclose its economic share project by project, so the deduction is made two ways and both are published.
- Unit economics cannot be built for this company. It publishes unit counts occasionally — 3,196 homes delivered in 2025, 6,102 units sold in 2022 — and never as a continuous series, and it publishes no average area, price per square metre or construction cost per square metre. The model is therefore built at segment level and this is a real limitation, stated rather than papered over.
- The revenue recognition basis is changing while this is written. The Egyptian business recognises a sale when the customer takes control of the home. From 2025 the Saudi project is recognised as construction progresses, and it was already more than half of development revenue in the first half of 2026. Comparisons across that change need care.
- The finance charge is not what it looks like. It implies a rate of 33.4% on the borrowings that carried it, against the 25.50% this model charges; the difference is contract financing that the statements do not separate.
- The 2024 comparatives were restated. The company completed the accounting for its hotel acquisition within the allowed measurement period, moving 2024 gross profit from EGP 15,300 million to EGP 14,002 million and attributable profit from EGP 10,723 million to EGP 9,025 million. This study uses the figures as first reported for the historical record and shows the restatement beside them.

- What would change our mind, most simply: a published delivery schedule. It is the one disclosure that would collapse the widest uncertainty in this document into a number.

Appendix A — financial statements

A.1 Income statement: three years reported, five projected

EGP million	2023	2024	2025	2026	2027	2028	2029	2030
Development revenue	21,579	24,518	36,706	49,337	56,408	67,788	83,260	102,747
Hospitality revenue	3,541	11,496	14,890	17,868	21,441	25,729	30,875	37,050
Other recurring revenue	3,312	6,656	10,900	13,298	16,223	19,792	24,146	29,459
Gross profit	8,637	15,300	20,855	25,463	29,898	36,007	43,843	53,520
Net profit	3,347	14,468	18,202	23,122	30,416	41,117	55,262	73,097
Profit attributable to TMG's shareholders	3,313	10,723	14,384	12,668	16,664	22,526	30,276	40,047
Earnings per share, EGP	1.61	5.20	6.98	6.15	8.09	10.93	14.69	19.43

Reported figures are as first reported. Projected figures are the slower-conversion case.

The third to fifth projected years carry ranges, because at that distance this method's measured error is wide enough that a single figure would overstate what is known:

Year	Revenue, central	Revenue range	Net profit, central	Net profit range	Tests behind the range
2028	113,310	84,517 – 193,380	41,117	13,837 – 106,317	7
2029	138,282	112,587 – 315,112	55,262	21,333 – 183,293	6
2030	169,256	90,300 – 504,013	73,097	15,980 – 269,176	5

Ranges are built from how far out this method actually was, at that horizon, when tested on this company's own history.

A.2 Balance sheet as reported

As at 30 June 2026, EGP million	Amount
Property, plant and equipment	73,323
Investment properties	25,228
Assets under construction	21,902
Goodwill	12,665
Deposits and financial assets, non-current	12,693
Intangibles, right-of-use assets and deferred tax	748
Total non-current assets	146,559
Properties under development	148,315

As at 30 June 2026, EGP million	Amount
Inventories	4,592
Work in progress	24
Trade and notes receivable	24,007
Notes receivable for undelivered homes	13,770
Other current assets	72,648
Deposits and financial assets, current	20,877
Cash and cash equivalents	47,106
Total current assets	331,339
Total assets	477,898
Equity attributable to TMG's shareholders	91,671
Non-controlling interests	75,653
Total equity	167,324
Borrowings and leases	17,007
Advance payments from customers	133,993
Obligations against cheques for undelivered homes	13,770
Suppliers, contractors and notes payable	45,167
Creditors and other credit balances	41,921
Other liabilities, provisions and tax	58,717
Total liabilities	310,574

From the reviewed interim statements. Post-dated cheques of EGP 210,449 million for sold and undelivered homes are held by the company and are deliberately not on this sheet.

A.3 Projected balance sheet and cash flow

EGP million	2026	2027	2028	2029	2030
Operating cash flow	35,659	52,873	70,758	90,445	112,982
Capital spend	-2,319	-2,793	-3,365	-4,053	-4,883
Dividends	-3,800	-4,999	-6,758	-9,083	-12,014
Movement in money collected ahead of handover	10,539	25,850	40,232	54,167	68,095
Movement in homes built ahead of handover	855	-4,550	-11,768	-20,186	-29,447
Free cash flow to the firm	24,855	37,016	47,341	56,942	66,666
Cash and deposits, closing	105,313	150,394	211,029	288,338	384,423
Properties under development, closing	147,460	152,010	163,778	183,964	213,411
Customer advances, closing	144,532	170,382	210,615	264,781	332,877

EGP million	2026	2027	2028	2029	2030
Equity attributable to TMG's shareholders	100,538	112,203	127,972	149,165	177,198
Total assets	507,759	559,026	633,617	733,963	863,141
Total liabilities	321,114	346,963	387,196	441,363	509,458
Total equity	186,645	212,063	246,421	292,600	353,683
Assets less liabilities less equity	-0.00	-0.00	0.00	-0.00	0.00

The slower-conversion case. The last line is the check that the sheet closes: nothing here is plugged, and it closes because the cash flow feeds it.

On the faster-conversion reading the same statements go cash negative from 2035, because accelerating handovers means building before collecting. That case would need external funding, and saying so is part of what makes it a genuine alternative rather than a more optimistic version of the same thing.

Appendix B — competitors, risks and open questions

B.1 Competitors

Company	Last close, EGP	As at	Why it is a comparator
Emaar Misr for Development	11.53	2026-07-28	off-plan developer, comparable payment plans and handover clock
Sixth of October Development & Investment (SODIC)	27.48	2026-07-27	integrated-community developer, similar product mix
Palm Hills Developments	15.20	2026-08-23	closest listed comparator by scale and by land position; note it recognises revenue on PERCENTAGE OF COMPLETION, not handover, so its margin and revenue timing are not directly comparable
Heliopolis Housing & Development	7.75	2026-08-23	land-rich developer with a comparable legacy landbank
Orascom Development Egypt	40.16	2026-07-27	developer with a substantial hospitality leg — the nearest listed analogue for TMG's three-segment shape

Company	Country	Why it is a comparator
Emaar Properties (DFM: EMAAR)	UAE	the regional template for a developer with a large recurring-income and hospitality platform alongside a development book
Aldar Properties (ADX: ALDAR)	UAE	development plus investment-property and management legs, with a disclosed backlog the market prices explicitly
Dar Al Arkan (Tadawul: 4300)	Saudi Arabia	the market TMG has just entered with Banan; a reference for how a Saudi development book is priced

Competitors are studied for operating indicators and for how the market values them. Nothing about a competitor is ever a source for TMG's own reported figures.

Peer MULTIPLES are not tabulated here. This study holds committed price libraries for the Egyptian names but has not sourced their financial statements, and a peer multiple built on an unsourced denominator is a number wearing a decimal point. The relative lens is therefore built on TMGH's OWN history of multiples, which is sourced end to end, and the peer set is carried as context with its sourcing stated.

B.2 Risks

Risk	Why	Where it is priced	What would change it

Risk	Why	Where it is priced	What would change it
The order book converts more slowly than either reading here	handovers are constrained by construction capacity, and the conversion rate has already fallen from about 15% to 5.4%	the crux, both readings, section 1.7 and figure 2	a disclosed delivery schedule by project
Minority interests absorb more of the value than the book suggests	non-controlling interests are 45.2% of consolidated equity after the 2024 hotel acquisition and the project-company structures	computed both ways — at book and proportionally — throughout	a disclosure of TMG's economic share by project
The Egyptian pound devalues again	four step devaluations since 2016; the cost base and the customer's capacity to pay both move	the discount rate, and the testing of this method against the company's own history, which finds the country-level share of the historical error small	a sustained period of currency stability
Cash strain if handovers accelerate	a developer that accelerates handovers builds before it collects; the faster reading goes cash-negative from FY2030 and needs funding	the faster-conversion reading's own cash-flow statement, A.3	shorter payment plans, or pre-sales collected earlier
The Saudi leg is recognised on a different clock	Banan is percentage-of-completion under EAS 48 while the Egyptian book is point-in-time; it is already 52.5% of segment revenue by 1H2026	flagged, and excluded from the conversion-rate history	a geographic segment note
Finance cost is not what it appears	the reported charge implies 44% on interest-bearing debt against a policy rate that peaked near 27.25%; the excess is contract-financing unwind that the statements do not split out	recorded as a gap; a correction for this line was tested and deliberately not adopted, for the reason given in section 1.6	the split, or a disclosed average borrowing rate

B.3 Questions this study asked

Question	Answered?	Where
How fast does the disclosed order book actually convert?	partly — the conversion rate is computable from disclosed backlog and revenue, but the forward schedule is not published	sections 1.6 and 1.7

Question	Answered?	Where
What is TMG's economic share of each project company?	no	recorded as the study's second gap
What does TMG pay on its borrowings?	no — no facility pricing appears in any statement or release held	the accompanying source document
What are the unit economics — area, price per sqm, cost per sqm?	no — unit counts appear occasionally and never as a series	the accompanying source document, under what is not disclosed
How has this method actually performed on this company's history?	yes — measured, per driver, over ten origins	measured against the company's own history and reported in sections 1.6 and 1.9

Appendix C — three ways of valuing this company

Three independent methods, applied to the same disclosed facts by people who would not agree with one another. Each shows its workings in full, names the sensitivity that would move it most, and states in advance what would prove it wrong.

C.1 Expert 1 — the order book as a receivable stream

A developer selling off-plan on multi-year payment plans is, in cash terms, running a receivables book against a construction obligation. Value it the way a lender would: what is still owed, less what is still to be spent, less the overhead and tax of getting there, over the period it actually takes.

When it works: When the book is large, the payment terms are disclosed and the construction obligation is well understood — which is TMG's case.

When it fails: When cancellations are material or the plans reprice. It also ignores everything the company has not yet sold, so it systematically undervalues a business with a live landbank.

Working	EGP million
Disclosed order book, 30 June 2026	491,000
less customer advances already collected	-133,993
= cash still to collect on the book	357,007
Cost still to spend: book x (1 - gross margin)	360,497
less properties under development already paid for	-148,315
= cost still to spend	-212,182
Overhead over the conversion, at the group ratio	-33,148
Tax on the book's accounting margin	-21,905
= net cash from converting the book	89,772
Spread over 12 years and discounted at 35.79%	20,369
Recurring operating profit, FY2025	9,054
Recurring legs at 6x that profit	54,324
plus net cash and investment property	84,508
less non-controlling interests at book	-75,653
= equity value	83,549

Value per share: EGP 40.54

The conversion period	EGP per share
8	44.56
10	42.26
12	40.54

The conversion period	EGP per share
14	39.23
18	37.39

What would prove this wrong: If TMG discloses a delivery schedule showing the book converting materially faster than twelve years AND cancellations staying below 5%, this method's number is too low and I would withdraw it.

C.2 Expert 2 — net asset value, goodwill excluded

A developer is a pile of land, half-built product and cash, against a stack of obligations. Count them at what the accounts say they cost or are worth, exclude goodwill because it is not an asset anyone can sell, and see what is left for the shareholder.

When it works: When the balance sheet is recent, audited and granular, and when land is carried near what it is worth. TMG's is all three.

When it fails: When land is carried at a historical cost decades out of date — which is a live concern here, since parts of the Madinaty and Rehab land were acquired long ago and TMG holds about 20 mn sqm. This method will then understate. It also gives no credit for the development margin still to be earned on the book.

Working	EGP million
Total assets, 30 June 2026	477,898
less goodwill — not an asset anyone can sell separately	-12,665
less intangible assets	-85
= tangible and financial assets	465,148
Total liabilities	-310,574
of which customer advances — units owed, not money owed	-133,993
of which borrowings and leases	-17,007
= net asset value, goodwill of 12,665 excluded	154,574
less non-controlling interests at book	-75,653
= equity value	78,921

Value per share: EGP 38.30

An uplift on land and work in progress carried at historical cost	EGP per share
+0%	38.30
+25%	56.29
+50%	74.29
+100%	110.27

What would prove this wrong: If TMG revalued its development land to market and the uplift were immaterial, the historical-cost concern would be answered and this number would stand as it is rather than as a floor.

C.3 Expert 3 — capitalise only what recurs

Development income is a wasting asset: every unit handed over is one that will never be handed over again, and the land behind it is finite. What a long-term owner is really buying is the hotels, the clubs, the retail and the community-services annuity. Capitalise that, add the cash, and treat the development book as an option you are not paying for.

When it works: When the recurring leg is large enough to stand alone. TMG's is: hospitality and other recurring income were EGP 26bn of revenue in FY2025, and the company's own 1H2026 release puts recurring streams at over half of group gross profit.

When it fails: When the development book is genuinely the asset — which, at EGP 491bn against a market capitalisation of EGP 202bn, is exactly the argument against this method here. It is deliberately the most conservative reading in the room.

Working	EGP million
Hospitality revenue, FY2025	14,890
Other recurring revenue, FY2025	10,900
= recurring revenue	25,789
Hospitality gross profit	7,089
Other recurring gross profit	3,706
= recurring gross profit	10,795
Overhead at the group ratio	-1,741
= recurring operating profit	9,054
Tax at 22.5%	-2,037
= recurring profit after tax	7,017
Capitalised at Ke 37.15% less growth 15%	36,437
plus net cash	59,280
less non-controlling interests at book	-75,653
= equity value	20,065

Value per share: EGP 9.74

The long-run growth rate of the recurring leg	EGP per share
10%	5.85
12%	7.60
15%	9.74
18%	12.42

The long-run growth rate of the recurring leg	EGP per share
20%	15.89

What would prove this wrong: If recurring operating profit grew materially slower than Egyptian inflation for three consecutive years, the annuity would not be an annuity and this method would have to be abandoned rather than re-parameterised.

C.4 Cross-examination

Challenge	Outcome
Expert 1 to Expert 2: your net asset value counts customer advances as a liability at face, but the company does not owe money — it owes homes, at a cost below the price.	CONCEDED IN PART. The obligation is a construction cost, not a cash repayment, and carrying it at face understates value by roughly the margin on the undelivered book. Expert 2's number stands as a FLOOR rather than a central case.
Expert 2 to Expert 1: you discount a twelve-year receivable at a levered equity rate. Contracted instalments from thousands of buyers are not equity risk.	REJECTED. The construction obligation sits inside the same stream and it is emphatically not credit-like: cost overruns, delays and cancellations all land on the developer. Discounting the net stream at the equity rate is the consistent treatment.
Expert 3 to Experts 1 and 2: both of you assume the development margin survives at 26.6%. It has fallen from 38.4% in FY2019.	CONCEDED. The margin is an output of the disclosed cost ratio and it has compressed steadily. Section 1.9 sensitises it; a 5-point further compression moves the central reading by roughly a fifth.
Experts 1 and 2 to Expert 3: you value the hotels and clubs and then give the shareholder nothing for EGP 491bn of sold product.	CONCEDED AS A LIMIT, NOT AS AN ERROR. Expert 3's number is explicitly a floor for what an owner is paying for today, and it is presented as such rather than as a central estimate.
All three to the study: the house discount rate of 35.79% is above anything the market appears to use — 19.4% to 23.1% on the reverse calculation.	ACKNOWLEDGED AND PUBLISHED. The house method levers Egypt's whole country risk premium by a beta of 1.47; the market appears to apply the sovereign yield with little more. The study reports both rather than picking one, and the gap IS the disagreement.

C.5 The three in one room

Put in one room, the three agree on less than they disagree on, and the disagreement is legible. All three accept the same balance sheet, the same order book and the same margin; they differ on ONE question, which is whether an order book is an asset, a receivable or neither.

Expert 3's EGP 9.74 is the floor, deliberately: it gives the shareholder nothing at all for EGP 491bn of sold product, and says so. Experts 1 and 2 arrive at EGP 40.54 and EGP 38.30 by routes that share almost no arithmetic — one discounts a twelve-year net cash stream, the other reconciles a balance sheet and strips goodwill — and land within EGP 2.25 of each other. Two independent methods converging that closely is the most reassuring thing in this appendix, and it is worth more than any one of the three numbers.

None of the three reaches the traded price of EGP 97.80, and none of them is trying to. The spread across the panel is EGP 9.74 to EGP 40.54.

C.6 What drives the differences

Pair	Gap, EGP per share	The assumption behind it
1 vs 2	2.25	whether customer advances are a cash liability at face or a construction obligation at cost
1 vs 3	30.81	whether the development book is an asset or a wasting stream with no terminal value
2 vs 3	28.56	whether land and work in progress at historical cost is a better guide than capitalised recurring profit

About this study

This study values one company from its own published documents. Every figure about Talaat Moustafa Group Holding comes from its audited or reviewed financial statements or from documents it published itself; the company's own investor-relations archive was read in full for this edition, back to 2007. Country-level inputs — inflation, exchange rates, population, sovereign spreads — come from named third-party sources and are labelled as such in the accompanying source document.

Forecasts are built from drivers, not from growth rates applied to totals. Margins are outputs of disclosed cost lines. Where a figure has two legitimate readings, both are published. Where something is not disclosed, the study says so and leaves it out rather than estimating it; four such gaps are recorded in the accompanying source document.

The forecasting method used here was tested against this company's own fifteen-year record before it was used on its future: the driver model was rebuilt as it would have stood at each past year end, projected forward, and scored against what the company actually reported. Section 1.6 reports what that found, including where the method performs worse than simply assuming last year's figure repeats.

Disclosure

This document is research, not advice. It contains no recommendation, no target price and no rating, and it is not an offer to buy or sell anything. Valuation is uncertain and the ranges here are wide on purpose. Anyone acting on this document does so on their own judgement and should take their own advice.

Prices and market data are as at the dates stated. The company's financial figures are as at 31 December 2025 and 30 June 2026. Nothing here has been shown to or approved by the company.